> The starting point for a first home buyer is to get a good job that pays good money. If you've got a good job and it pays good money and you have security in relation to that job, then you can go to the bank and you can borrow money and that's readily affordable. More affordable than ever to borrow money for a first home now than it has ever been.

We got fired up over that, but it seems we have not maintained the rage.

Clip news stories from the business pages and you'll find that interest rates feature heavily. Savings accounts accrue interest, but rates have been at historic lows, which has made money cheap to borrow and, for the first home saver who is pursuing a deposit, with cash sitting long term in the bank while they creep towards the amount they need to buy in, the low interest rates have not been a useful instrument.

However, once you have a mortgage, the impact of a rate hike can be significant. Even while scrimping for a deposit, understanding – for the future – what interest rate movements do to your own bottom line is important.

Eslake says that borrowers typically, when they have capacity, keep up their mortgage repayments when interest rates fall, so that they pay off their principal more quickly than they otherwise would, and this has two advantages – saving up to tens of thousands of dollars in interest over the life of their loan and, when interest rates decrease, building a buffer against further rate increases.

While wages haven't risen, another challenge for the first-time buyer has emerged. Mum and dad investors have made it harder for their children to get into the housing market. Eslake says, 'In recent years, the share of home-lending going to first home buyers has dropped to less than ten per cent, while the share going to investors has exceeded 45 per cent and in some years over 50 per cent.' This is pretty clear evidence of how first home buyers have been squeezed out of the market by investors.